

IT CAME CRASHING down about 10 years ago. Once the most sought-after format for highway construction, projects under the BOT (Build-Operate-Transfer) Toll model—that were constructed completely by private players—nosedived from 96% of awards in 2012 to zero just seven years later in 2019.

And there it has languished since, rising a tad to 3-5% till FY23 before it collapsed to zero again in FY24, bogged down by the burden of the glory years of 2006-13, when money was cheap, private sector enthusiasm was high, traffic projections were optimistic, and the government was keen to build miles and miles of roads. But when the dust settled, those private players were left to grapple with high debt burdens, higher land acquisition costs, costly litigation, low traffic and lower toll collections, and ever-increasing timelines. Big players like HCC, Gammon, and IVRCL were caught in a debt trap, and others have been hesitant to enter the BOT arena as a result.

Instead, there was a shift to-

M O D E S O F C O N

ENGINEERING, PROCUREMENT, AND CONSTRUCTION (EPC) MODE



National Highways Authority of India is responsible for financing, construction, operating and maintaining the road stretch



The land acquisition, project clearances and other regulatory norms have to be completed by the government

HYBRID ANNUITY MODE (HAM)



40% of cost is to be borne by the government during construction and 60% to be raised by concessionaire during construction



Government pays back the 60% as annuity payments over the period of operation along with interest to the concessionaire

wards EPC (engineering, procurement, and construction) and HAM (hybrid annuity model) projects. In EPC, the National Highways Authority of India (NHAI) handles everything from acquiring land to getting project clearance, etc. In HAM, introduced to boost the waning interest of private players, the government fronts 40% of the project cost, and the awardee has to raise the rest of the amount. The government pays the remaining amount in annuity mode over the period of operation—the private players have no right to collect a toll.

But this shift has left the NHAI with significantly high debt. Its debt stands at ₹3.48 lakh crore as of September 2023—the majority of it piled up between FY18 and FY21. In 2014, NHAI's debt was ₹23,800

crore. Considering the government's continued focus on infrastructure development in recent years, getting private players to invest in the road sector again is a top priority for the Ministry of Road Transport and Highways (MoRTH), headed by Minister Nitin Gadkari.

Things are expected to change now with the government sweetening BOT agreements. A confident NHAI has announced a pipeline of 53 projects worth about ₹2 lakh crore through the BOT mode in the next three to five years.

Among other things, the revised model concession agreement (MCA) announced by the NHAI provides significant risk mitigation compared to the earlier model. It now allows firms to borrow from non-bank lenders and has enhanced